THE INSTITUTE OF CHARTERED ACCOUNTANTS OF INDIA

(Set up by an Act of Parliament)

Board of Studies(Academic)
The Institute of Chartered Accountants of India

Applicability of Standards/Guidance Notes/Legislative Amendments etc. for May, 2025 Examination

Intermediate Level

Paper 2: Corporate and Other Laws

The provisions of the Companies Act, 2013 and the Limited Liability Partnership Act, 2008 along with significant Rules/ Notifications/ Circulars/ Clarification/ Orders issued by the Ministry of Corporate Affairs, and the laws covered under Part II: Other Laws, as amended by concerned authority, including significant notifications and circulars issued up to 31.10.2024 are applicable for May 2025 examination.

The Study Material has to be read along with the 'Relevant Legislative amendments for May 2025 examinations' for the period of 1.5.2024 to 31.10.2024.

Paper 3: Taxation

Section A: Income-tax Law

The provisions of income-tax law, as amended by **the Finance (No. 2) Act, 2024**, including significant circulars, notifications, press releases issued and legislative amendments made **upto 31.10.2024**, are applicable for May, 2025 examination. The relevant assessment year for income-tax is **A.Y. 2025-26**.

The Study Material for Intermediate Paper 3A, based on the provisions of income-tax law, as amended by the Finance (No. 2) Act, 2024, is relevant for May, 2025 examination. The Study Material has to be read along with the **Statutory Update** for May 2025 examination covering significant notifications and circulars issued upto 31.10.2024 but not covered in the study material.

Note *–The Study Guidelines specifying the list of topic-wise exclusions from the scope of syllabus and topic-wise inclusion of clauses of section 10 in the syllabus is given as Annexure 1.*

Section B: Goods and Services Tax

Applicability of the GST law

The provisions of the CGST Act, 2017 and the IGST Act, 2017 as amended by the Finance (No. 2) Act, 2024 including significant notifications and circulars issued and other legislative amendments made, which have become effective up to 31.10.2024, are applicable for May 2025 examination.

The amendments made by the Annual Union Finance Acts in the CGST Act, 2017 and IGST Act, 2017 are made effective from a date notified subsequently. Thus, only those amendments made by the relevant Finance Acts which have become effective till 31.10.2024 are applicable for May 2025 examination. Accordingly, the amendment made by the Finance (No. 2) Act, 2024 [viz. amendment in section 16 of the CGST Act, 2017] which has become effective till 31.10.2024 is applicable for May 2025 examination and remaining amendments are not applicable for said examination.

The Study Guidelines given below specify the exclusions from the syllabus for May 2025 examination.

List of topic-wise exclusions from the syllabus

(1)	(2)	(3)
S. No. in the syllabus	**Topics of the syllabus**	**Exclusions (Provisions which are excluded from the corresponding topic of the syllabus)**
2(iii)	Charge of tax including reverse charge	**CGST Act, 2017** (i) Rate of tax prescribed for supply of **goods*** (ii) Rate of tax prescribed for supply of **services*** (iii) Categories of supply of goods, tax on which is payable on reverse charge basis under section 9(3) **IGST Act, 2017** (i) Rate of tax prescribed for supply of **goods** (ii) Rate of tax prescribed for supply of **services** (iii) Categories of supply of goods, tax on which is payable on reverse charge basis under section 5(3)
2(iv)	Exemption from tax	**CGST Act, 2017 & IGST Act, 2017** Exemptions for supply of **goods**
3(ii)	Basic concepts of place of supply	**IGST Act, 2017 & IGST Rules, 2017** (i) Place of supply of goods imported into, or exported from India (ii) Place of supply of services where location of supplier or location of recipient is outside India

		(iii) Special provision for payment of tax by a supplier of online information and database access or retrieval [OIDAR] services (iv) Refund of integrated tax paid on supply of goods to tourist leaving India (v) Special provision for specified actionable claims supplied by a person located outside taxable territory
3(iii)	Basic concepts of time of supply	**CGST Act, 2017 & CGST Rules, 2017** Provisions relating to change in rate of tax in respect of supply of goods or services
3(iv)	Basic concepts of value of supply	**CGST Act, 2017 & CGST Rules, 2017** Chapter IV: Determination of Value of Supply [Rules 27-35] of CGST Rules, 2017
3(v)	Basic concepts of input tax credit	**CGST Act, 2017 read with CGST Rules, 2017** (i) Claim of credit by a banking company or a financial institution [Rule 38] (ii) Manner of determination of input tax credit in respect of inputs or input services and reversal thereof [Rule 42] (iii) Manner of determination of input tax credit in respect of capital goods and reversal thereof in certain cases [Rule 43] (iv) Input tax credit provisions in respect of inputs and capital goods sent for job work. (v) Input tax credit provisions relating to distribution of credit by Input Service Distributor [ISD] (vi) Manner of recovery of credit distributed in excess (vii) Manner of reversal of credit of additional duty of customs in respect of Gold dore bar

*Rates specified for computing the tax payable under composition levy are included in the syllabus.

Note: The syllabus includes select provisions of the CGST Act, 2017 and IGST Act, 2017 and not the entire CGST Act, 2017 and the IGST Act, 2017. The provisions covered in any topic(s) of the syllabus which are related to or correspond to the topics not covered in the syllabus shall also be excluded.

In the above table, in respect of the topics of the syllabus specified in column (2) the related exclusion is given in column (3). Where an exclusion has been so specified in any topic of the syllabus, the provisions corresponding to such exclusions, covered in other topic(s) forming part of the syllabus, shall also be excluded. For example, since

provisions relating to ISD are excluded from the topics "Input tax credit", the provisions relating to (i) registration of ISD and (ii) filing of returns by an ISD are also excluded from the topics "Registration" and "Returns" respectively.

It is important to note that the entire content included in the Study Material *(except where it is expressly mentioned that the content is not relevant for the examination)* shall ALONE be relevant for the said examination.

Annexure I

STUDY GUIDELINES

New Intermediate Paper 3: Taxation Section A: Income-tax Law

For May, 2025, September, 2025 and January, 2026 Examinations

List of topic-wise exclusions from the syllabus

<table>
<tr><th colspan="2">Topics of the Syllabus</th><th>Exclusions
(Provisions which are excluded from the corresponding topic of the Syllabus)</th></tr>
<tr><td>1.</td><td>Basic Concepts</td><td>-</td></tr>
<tr><td>2.</td><td>Residential status and scope of total income</td><td>Section 9A - Certain activities not to constitute business connection in India</td></tr>
<tr><td rowspan="4">3.</td><td>Heads of income and the provisions governing computation of income under different heads</td><td></td></tr>
<tr><td>Salaries</td><td>-</td></tr>
<tr><td>Income from house property</td><td>-</td></tr>
<tr><td>Profits and gains of business or profession</td><td>1. Income computation and disclosure standards (ICDSs) notified under section 145 and the related provisions in the Income-tax Act, 1961;
2. The provisions contained in the following sections given hereunder:
<table>
<tr><th>Section</th><th>Particulars</th></tr>
<tr><td>33AB</td><td>Tea Development Account/ Coffee Development Account/ Rubber Development Account</td></tr>
<tr><td>33ABA</td><td>Site Restoration Fund</td></tr>
<tr><td>35(2AB)</td><td>Expenditure on scientific research on</td></tr>
</table></td></tr>
</table>

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				in-house research and development facility by a company engaged in business of bio-technology or manufacturing of article or thing etc.
			35ABA	Expenditure for obtaining right to use spectrum for telecommunication services
			35ABB	Expenditure for obtaining licence to operate telecommunication services
			35CCA	Expenditure by way of payment to associations and institutions for carrying out rural development programmes
			35CCC	Expenditure on agricultural extension project
			35CCD	Expenditure on skill development project
			35DD	Amortisation of expenditure in case of amalgamation or demerger
			35E	Deduction of expenditure on prospecting and development of certain minerals
			36(1)(ia)/ (vi)/(viia) / (viii)/(xii) / (xiv)/ (xvii)	• Insurance premium paid by a Federal Milk Co-operative Society [Section 36(1)(ia)] • Allowance for animals used for the purposes of business or profession, otherwise than as stock in trade [Section 36(1)(vi)] • Special provision for bad and doubtful debts made by Banks, Public Financial Institution, State Financial Corporation, State Industrial Investment Corporation [Section 36(1)(viia)] • Deduction for Special Reserve created and maintained by Specified Entities engaged in eligible business [Section 36(1)(viii)]

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			• Deduction for expenditure incurred by entities established under any Central, State or Provincial Act [Section 36(1)(xii)] • Deduction of contribution by a public financial institution to Credit guarantee fund trust for small industries [Section 36(1)(xiv)] • Deduction of expenditure incurred by a co-operative society for purchase of sugarcane at price fixed by the Government [Section 36(1)(xvii)]
		40(a)(ib)	Consideration paid or payable to a non-resident for specified service on which equalization levy is deductible under Chapter VIII of the Finance Act, 2016 and such levy has not deducted or after deduction has not been paid on or before the due date of filing return of Income
		40(a)(iib)	Any amount paid by way of royalty, licence fee, service fee, privilege fee, service charge, etc., which is levied exclusively on, or any amount appropriated, directly or indirectly, from a State Government undertaking by the State Government (SG)
		40(ba)	Any payment of interest, salary, bonus, commission or remuneration by AoP or BoI to a member of such AoP or BoI
		42	Special provisions for deduction in case of business for prospecting etc. for mineral oil
		43C	Special Provision for Computation of Cost of Acquisition of Certain Assets
		43D	Special Provision in case of income of Public Financial Institutions, public companies etc.
		44	Insurance Business

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		44A	Special provision for deduction in the case of trade, professional or similar association
		44B to 44DB	• Special provision for computing the profits and gains of shipping business ***other than cruise shipping*** in case of non-residents [Section 44B] • Special provision for computing profits and gains in connection with the business of exploration etc., of mineral oils [Section 44BB] • Special provision for computing profits and gains of the business of operation of aircraft in the case of non-residents [Section 44BBA] • Special provision for computing profits and gains of foreign companies engaged in the business of civil construction etc. in certain turnkey power projects [Section 44BBB] • ***Special provision for computing profits and gains of business of operation of cruise ships in case of non-residents [Section 44BBC]*** • Deduction of head office expenditure in the case of non-residents [Section 44C] • Special provisions for computing income by way of royalties etc. in case of non-residents [Section 44DA] • Special provision for computing deductions in the case of business reorganisation of co-operative banks [Section 44DB]
	Capital gains	• Distribution of capital assets or stock in trade on dissolution or reconstitution of firm/AOP or BOI [Section 9B]	

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- Receipts from unit linked insurance policy [Section 45(1B)]
- Profits or gains arising from transfer made by the depository or participant of beneficiary interest in any securities [Section 45(2A)]
- Introduction of capital asset as capital contribution in a firm/AOP or BOI [Section 45(3)]
- Distribution of money or capital assets on reconstitution of firm/AOP or BOI [Section 45(4)]
- Taxability of capital gains in case of Specified Agreement [Section 45(5A)]

Section	Particulars
2(42A)	Sub-clauses consequent to excluded clauses of section 47, sub-clause (he) of clause (i) of Explanation 1 relating to period of holding of share(s) of a company acquired by non-resident on redemption of GDRs referred to in section 115AC(1)(b) and sub-clause (hg) relating to period of holding of unit or units in the segregated portfolio and sub-clause (hh) relating to period of holding of original units or units in the main portfolio.

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			47(via)/(via a)/ (viab)/(vic)/ (vica)/(vicb) / (vicc)/(viia)/ (viiaa)/ (viiab)/ (viiac)/ (viiad)/ (viiae)/ (viiaf)/(xa)/ (xii)/(xiii)/ (xiiia)/(xiiib) / (xiv)/(xv)/ (xvii)/ (xviii)/(xix)/ (xx)	• Any transfer of a capital asset being a share or shares held in an Indian company, in a scheme of amalgamation, by amalgamating foreign company to the amalgamated foreign company [Section 47(via)] • Any transfer of a capital asset, in a scheme of amalgamation of a banking company with a banking institution [Section 47(viaa)] • Any transfer, in a scheme of amalgamation, of a capital asset, being a share of a foreign company [Section 47(viab)] • Any transfer in a demerger, of a capital asset, being a share or shares held in an Indian company, by the demerger foreign company to the resulting foreign company [Section 47(vic)]

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			• Any transfer by a shareholder, in a business reorganisation, of a capital asset being a share or shares held by him in the predecessor co-operative bank if the transfer is made in consideration of the allotment to him of any share or shares in the successor co-operative bank or to the converted banking company [Section 47(vicb)] • Any transfer in case of a demerger of a capital asset, being a share of a foreign company [Section 47(vicc)] • Any transfer of bonds of an Indian company or Global Depository Receipts purchased in foreign currency referred to in section 115AC(1) [Section 47(viia)] • Any transfer, made outside India, of a capital asset being Rupee denominated bond of an Indian company issued outside India, by a non-resident to another non-resident [Section 47(viiaa)] • Any transfer of a capital asset, being GDR, rupee denominated bonds, derivative or other notified securities by a non-resident in foreign currency on a recognized stock exchange located in any IFSC [Section 47(viiab)] • Any transfer, in a relocation, of a capital asset by the original fund to the resulting fund [Section 47(viiac)] • Any transfer by a shareholder or unit holder or interest holder, in a relocation, of a capital asset

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<table>
<tr><td></td><td>Income from Other Sources</td><td>Section 56(2)(xii) – Specified sum received by a unit holder from a business trust during the previous year with respect to a unit held by him at any time during the previous year.</td></tr>
<tr><td>4.</td><td>Income of other persons included in assessee's total income</td><td>Section 65: Liability of person in respect of income included in the income of another person</td></tr>
<tr><td>5.</td><td>Aggregation of income; Set-off, or carry forward and set-off of losses</td><td>
<table>
<tr><th>Section</th><th>Particulars</th></tr>
<tr><td>67A</td><td>Method of computing a member’s share in income of association of persons or body of individuals</td></tr>
<tr><td>72A</td><td>Carry forward and set-off of accumulated business losses and unabsorbed depreciation in certain cases of Amalgamation/ Demerger, etc.</td></tr>
<tr><td>72AA</td><td>Provisions relating to carry forward and set-off of accumulated losses and unabsorbed depreciation of a –
- banking company against the profit of a banking institution or a company subsequent to a strategic disinvestment under a scheme of amalgamation; or
- one or more corresponding new bank with any other corresponding new bank; or
- government company with any other government company under a scheme of amalgamation</td></tr>
<tr><td>72AB</td><td>Provisions relating to carry forward and set off of accumulated loss and unabsorbed depreciation in business reorganisation of co-operative banks</td></tr>
</table>
</td></tr>
</table>

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<table>
<tr><td></td><td></td><td><table>
<tr><td>78</td><td>Carry forward and set-off of losses in case of change in constitution of firm or succession</td></tr>
<tr><td>79</td><td>Carry forward and set-off of losses in case of certain companies</td></tr>
<tr><td>79A</td><td>No set off of losses consequent to search, requisition and survey</td></tr>
</table></td></tr>
<tr><td>6.</td><td>Deductions from gross total income</td><td>Deductions in respect of certain income:<table>
<tr><th>Section</th><th>Particulars</th></tr>
<tr><td>80-IA to 80-IE</td><td>Profit-linked deductions under Chapter VI-A</td></tr>
<tr><td>80JJA</td><td>Deduction in respect of profits and gains from business of collecting and processing of bio-degradable waste.</td></tr>
<tr><td>80LA</td><td>Deduction in respect of certain incomes of Offshore Banking units and International Financial Services Centers</td></tr>
<tr><td>80M</td><td>Deduction in respect of certain inter-corporate dividends</td></tr>
<tr><td>80P</td><td>Deduction in respect of income of co-operative societies</td></tr>
<tr><td>80PA</td><td>Deduction in respect of certain income of Producer Companies</td></tr>
</table></td></tr>
<tr><td>7.</td><td>Advance tax, tax deduction at source and tax collection at source</td><td><table>
<tr><th>Section</th><th>Particulars</th></tr>
<tr><td>194E</td><td>Payments to non-resident sportsmen or sports associations</td></tr>
<tr><td>194EE</td><td>Payments in respect of deposits under NSS</td></tr>
<tr><td>194-IC</td><td>Payment under specified agreement</td></tr>
<tr><td>194LB to 194LD</td><td>• Interest income from Infrastructure Debt Fund [Section 194LB]
• Income from units of business trust [Section 194LBA]</td></tr>
</table></td></tr>
</table>

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<table>
<tr><td></td><td></td><td><table>
<tr><td></td><td>• Income in respect of units of investment fund [Section 194LBB]
• Income in respect of investment in securitization trust [Section 194LBC]
• Income by way of interest payable to non-residents by Indian company [Section 194LC]
• Income by way of interest on certain bonds and Government securities payable to a Foreign Institutional Investor or a Qualified Foreign Investor [Section 194LD]</td></tr>
<tr><td>194-O</td><td>Payment of certain sums by e-commerce operator to e-commerce participant</td></tr>
<tr><td>194S</td><td>Payment on transfer of Virtual digital asset</td></tr>
<tr><td>195</td><td>Other sums (payable to non-residents)</td></tr>
<tr><td>196A to 196D</td><td>• Income in respect of units of non-residents [Section 196A]
• Income from units referred to in section 115AB [Section 196B]
• Income from foreign currency bonds or shares of Indian company [Section 196C]
• Income of Foreign Institutional Investors from securities [Section 196D]</td></tr>
<tr><td>202</td><td>Deduction only one mode of recovery</td></tr>
<tr><td>206CB</td><td>Processing of statements of tax collected at source</td></tr>
</table></td></tr>
<tr><td>8.</td><td>Provisions for filing return of income and self-assessment</td><td>Sections 139(4A) to 139(4F) dealing with provisions for filing of return of charitable or religious trusts, research institutions, political party, university, college or other institution, business trust, investment fund.<table>
<tr><th>Section</th><th>Particulars</th></tr>
</table></td></tr>
</table>

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		139(6)	Particulars to be furnished with the Return
		139(6A)	Particulars to be furnished with return of income in the case of an assessee engaged in business or profession
		139C & 139D	Power of CBDT to dispense with furnishing documents etc. with the return and filing of return in electronic form
9.	Income-tax liability - Computation and optimization	**Section 5A** – Apportionment of income between spouses governed by Portuguese Civil Code **Section 89A -** Manner and year of taxation of income of a specified person accrued in a specified account	

List of topic-wise inclusion of clauses of section 10 in the syllabus

	Topics of the Syllabus	Inclusion (Provisions which are included in the Syllabus)	
1.	Basic Concepts	Agricultural income [Section 10(1)]	
2.	Residential Status and Scope of Total Income	-	
3.	Heads of Income		
	Salaries	**Section**	**Particulars**
		10(5)	Leave travel concession
		10(6)	Remuneration received by Individuals, who are not citizen of India
		10(7)	Allowance payable outside India by the Government to a citizen of India
		10(10)	Gratuity
		10(10A)	Commutation of pension

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		10(10AA)	Leave Encashment
		10(10B)	Retrenchment Compensation
		10(10C)	Voluntary Retirement Receipts
		10(10CC)	Income-tax paid by employer on non-monetary perquisite
		10(11)	Payment from Statutory Provident Fund or PPF
		10(12)	Payment from Recognised Provident Fund
		10(13)	Payment from Superannuation Fund
		10(13A)	House Rent Allowance
		10(14)	Special Allowance or benefit to meet expenses relating to duties or personal expenses
		10(18)	Pension received by recipient of gallantry awards
	Income from house property	-	
	Profits and gains of business or profession	**Section**	**Particulars**
		10(2A)	Share income of a partner
		10(30)	Income of Tea Board
		10(31)	Income of Rubber Board and Coffee Board
	Capital Gains	**Section**	**Particulars**
		10(34A)	Income received on buy-back of shares of domestic company
		10(37)	Capital gains on compulsory acquisition of agricultural land situated within specified urban limits
		10(43)	Income received in a transaction of reverse mortgage

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<table>
<tr><td></td><td>Income from Other Sources</td><td colspan="2"><table>
<tr><th>Section</th><th>Particulars</th></tr>
<tr><td>10(4)(ii)</td><td>Interest on moneys standing to the credit of individual in his NRE A/c</td></tr>
<tr><td>10(10BC)</td><td>Compensation received on account of disaster</td></tr>
<tr><td>10(10D)</td><td>Payment of maturity proceeds by LIC (other than ULIPs)</td></tr>
<tr><td>10(15)(i) / (vi)/(vii)</td><td>Interest income arising to certain persons</td></tr>
<tr><td>10(16)</td><td>Educational scholarship</td></tr>
<tr><td>10(17)</td><td>Payment to MPs & MLAs</td></tr>
<tr><td>10(17A)</td><td>Awards for literary, scientific and artistic works and other awards by the Government</td></tr>
<tr><td>10(19)</td><td>Family pension received by widow/children/nominated heirs of armed forces members</td></tr>
</table></td></tr>
<tr><td>4.</td><td>Income of other persons included in assessee's total income</td><td colspan="2">Minor's income included in the hands of parent [Section 10(32)]</td></tr>
<tr><td>5.</td><td>Aggregation of income; Set-off, or carry forward and set-off of losses</td><td colspan="2">-</td></tr>
<tr><td>6.</td><td>Deductions from gross total income</td><td colspan="2"><table>
<tr><th>Section</th><th>Particulars</th></tr>
<tr><td>10(11A)</td><td>Payment from Sukanya Samriddhi Account</td></tr>
<tr><td>10(12A)</td><td>Payment from NPS Trust to an assessee on closure of his account or on his opting out of the pension scheme</td></tr>
<tr><td>10(12B</td><td>Payment from NPS Trust to an employee</td></tr>
</table></td></tr>
</table>

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		)	on partial withdrawal
		10(12C)	Payment from Agniveer Corpus Fund to a person enrolled under Agnipath Scheme or to his nominee
		10AA	Tax holiday for units established in SEZ
7.	Advance tax, tax deduction at source and tax collection at source	-	
8.	Provisions for filing return of income and self-assessment	-	
9.	Income-tax liability - Computation and optimisation	Amount received by a member from the income of HUF [Section 10(2)]	

Note *- As far as the Income-tax Rules, 1962 are concerned, only the significant Rules included in the respective chapters of the Study Material as well as in the Statutory Update for May, 2025, September, 2025 and January, 2026 examinations, respectively, would be relevant at the Intermediate level. Even in respect of those sections and rules which are included in the syllabus, the coverage is restricted to the extent of the content discussed in the Study Material and Statutory Update.*

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